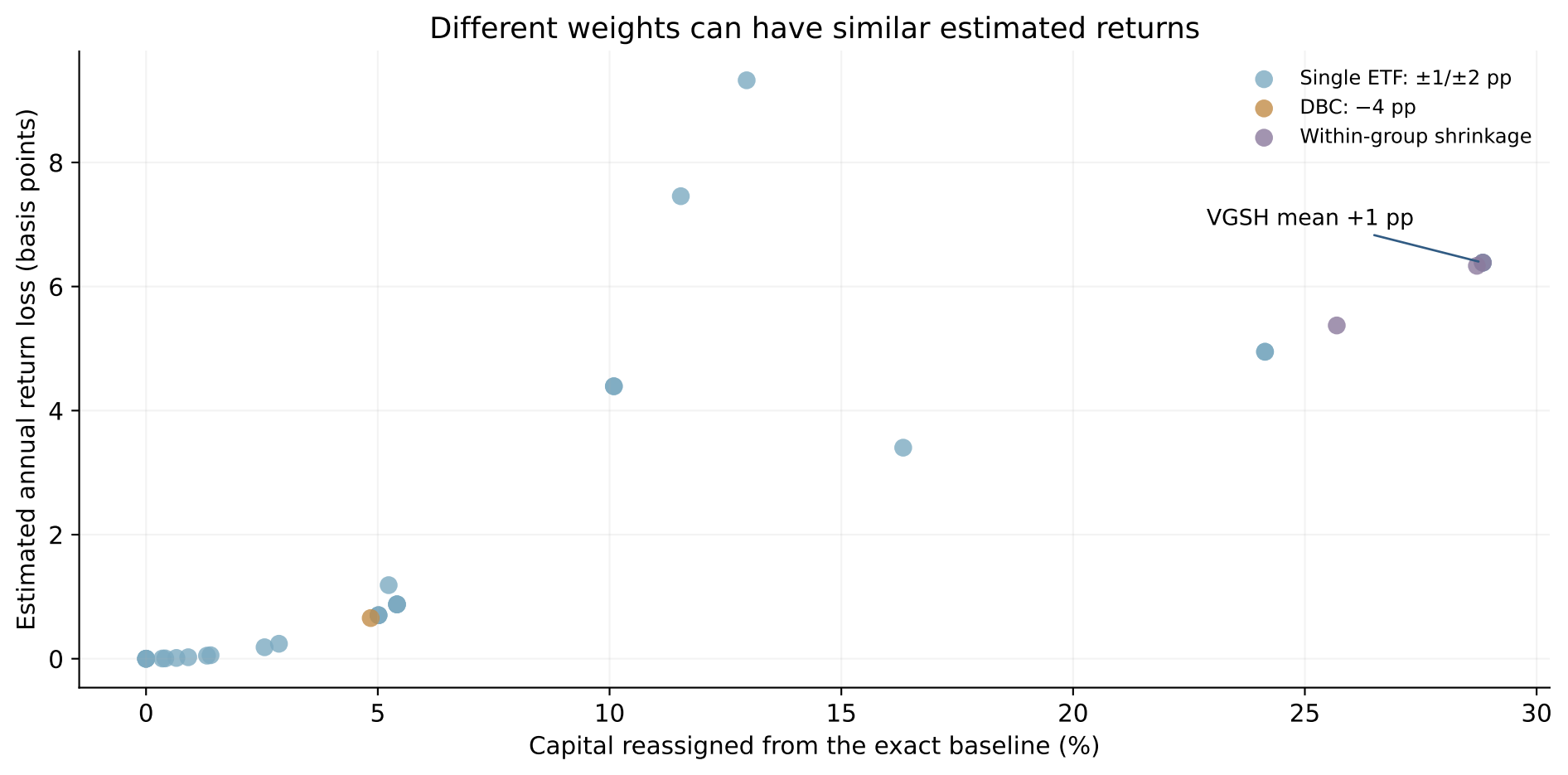
Different weights can have similar estimated returns
Single ETF: ±1/±2 pp
DBC: −4 pp
Within-group shrinkage
VGSH mean +1 pp
Estimated annual return loss (basis points)
Capital reassigned from the exact baseline (%)
0
2
4
6
8
0
5
10
15
20
25
30